

Trusts Short Form

Elements of a trust: A settlor (18 yo, contracts) makes a delivery of legal title to presently owned and identified property to a trustee (subject to exceptions) for the benefit of definite and ascertainable beneficiaries with intent to create a trust for a lawful purpose.

- **Revocable trust:** Settlor is not the only beneficiary
- **Pour over gift:** trust exists concurrently/executed with will (name trustee in [doc]).
- **Totten Trust/Bank Account Trust:** Bank account in depositors name as trustee for named beneficiary.
- **Uniform Transfer to Minors Act:** special statutory conservatorship requiring custodian to hold/manage property, pay over to minor, and give over upon age 21.
- **Charitable trusts:** Indefinite beneficiaries, for a charitable purpose.
- Non-trusts (honorary) trusts do not exist, except pet trusts (≤ 21 years) and cemetery trusts.
- **Oral trusts:** No constructive trust will be imposed to give effect to any alleged oral trust except fraud in the inducement or confidential relationship.
- **Equitable Remedy**
 - Constructive trusts: equitable remedy to disgorge unjust enrichment from unlawful conduct.
 - Resulting trust: PMRT is not recognize in NY absent clear & convincing evidence that grantee expressly/impliedly promised to reconvey, then constructive trust.
- **Statutory Spendthrift clause:** Prohibits all transfers of beneficiaries income interest (even absent a clause), but protection for principal requires express statement (except: necessities, child, federal tax liens, excess income beyond lifestyle requirements, 10% levy).
- **Modification** (to uphold purpose): Purpose of the trust and see if directions frustrate that purpose.
- **Termination:** NY Trusts are irrevocable and unamendable unless the power to revoke/amend is expressly reserved in the trust instrument, unless all beneficiaries consent.
- **NY Fiduciary Powers Act:** trustee has broad discretion, but cannot engage in self-dealing, borrow money, or continue a business. A trustee must segregate trust and personal assets and earmark assets by titling them in trustee's name.
- **Liability:** Trustee is personally liable for all torts by Trustee or Trustee's EE, subject to reimbursement (within powers and not personally at fault).
- **Trustee investment power:** Trustee must manage property of trust on behalf of the beneficiary, including investment of the corpus of the trust.
- **Rule against perpetuities:** No interest is valid if it could vest later than any life in being at time of creation + 21 years.
- **Suspension rule:** an interest is void if it suspends the power of alienation for a period longer than lives in being +21 years.
- General Intervivos Power of Appointment: measured from date of **exercise**.
- General Testamentary or Special Power of Appointment from date of **creation**.
- **Second look doctrine:** If invalid from date of creation, take a "second look" at time

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donee “filled in the blanks.”